

complaint

Mr K complains that Millennium Insurance Company Limited made an unfair offer to settle the claim he made under his buildings and contents policy.

background

Mr K let the insured property. It was broken into during refurbishment work after the tenancy ended. Some parts of the electrical system were stolen, and other parts of the property were damaged. Mr K claimed for this under the policy. Millennium's loss adjusters said the policy schedule showed there was no theft cover if the property was unoccupied. So, they effectively rejected the claim for the electrical system. Regarding the rest of the claim, they thought: some of the damage pre-dated the break-in; some of the repair work claimed was unnecessary; and some costs were excessive. They said the value of the balance of the claim would be less than the excess that applied to the cover for malicious damage. Later, they repeated that there was no theft cover, but, despite this, they offered to settle the claim for the electrical system, less the policy excess applying to the cover for theft.

Mr K didn't accept Millennium's offer. He said the claim was for theft and the property hadn't been unoccupied according to the relevant definition in the policy. Our adjudicator said the property had been unoccupied for fewer than 30 days. And the policy booklet stated that the cover for theft was excluded only when the building was unoccupied for 30 days or more. He thought all the damage should be treated as resulting from theft. So, he said Millennium should either arrange for the damage to be repaired or pay Mr K the amount he'd been quoted for the work. Also, he thought it should consider the claim Mr K had made for loss of rent. And it should pay compensation of £350 for the inconvenience its response to the claim had caused.

The loss adjusters replied by saying they thought some of the damage wasn't necessary in order to steal items. The adjudicator supplied Mr K's responses to their concerns but we haven't received a substantive reply to these from them.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Two different versions of the policy schedule have been supplied. I can't see that this has been explained. Also, as supplied, the second version is incomplete. So, I'm treating the full copy included in one of Millennium's files as correct.

The correct schedule states that the cover for buildings and contents included accidental damage. And it includes a section for the excesses applying. This is divided into two: standard excesses and those applying when the property is unoccupied. Against *"theft"* the latter states *"cover not available"*; and, against *"malicious damage"*, it includes *"no cover after 30 days of unoccupancy"*.

We've also been given two different versions of the policy booklet. But the parts relevant here are effectively the same: accidental damage is defined as meaning *"sudden and unexpected damage occurring at a specific time and caused by external means"*; unoccupied is defined as meaning *"the property is deemed as unoccupied when it is not*

lived in by a tenant”, and the cover for theft, malicious damage and accidental damage excludes *“loss or damage whilst the buildings are unoccupied for 30 days or more”*.

So, there’s a discrepancy between the schedule and policy booklet regarding the cover for theft when the property’s unoccupied. The former’s specific to Mr K, whereas the latter’s issued to all policyholders. But, despite this, I think it’s fair for the cover on this point to be taken to be as stated in the policy booklet. I say this because: first, the policy booklet could cause confusion and lead policyholders to believe theft cover continues for the first 30 days of a period of unoccupancy; and second, I don’t think the statement *“cover not available”* against theft in the schedule is sufficiently prominent. It appears in the section that sets out the excesses. That’s not where an exclusion of theft cover for unoccupied properties would be expected to be set out.

The evidence I’ve seen indicates that the period between the tenant moving out and the discovery of the theft and damage was less than 30 days. So, I agree with the adjudicator that the limitations in the policy booklet for cover for theft, malicious damage and accidental damage when properties are unoccupied don’t apply.

I also agree that it’s fair for damage caused in the course of stealing items to be treated as *“loss or damage caused by ... theft”*, as set out in the policy booklet. And, even if some of the damage wasn’t part of the theft, or even if loss or damage caused by theft wasn’t covered, there was cover for accidental damage. I think the damage part of the claim fits the policy definition for this. And, according to the schedule, the excess for accidental damage, for both occupied and unoccupied properties, was substantially less than for malicious damage.

Strictly, the policy booklet didn’t state that Millennium could choose to settle buildings claims by carrying out or arranging necessary repairs. But if some of the work hasn’t already been carried out by Mr K, he may accept settlement of the relevant part of the claim by Millennium arranging and paying for this work.

my final decision

I uphold this complaint. My decision is that Millennium Insurance Company Limited should resume considering Mr K’s claim in line with my findings and subject otherwise to the terms of the policy. Also, it should pay him compensation of £350 for distress and inconvenience caused by its response to the claim.

It should do all this within 28 days of when we tell it Mr K accepts my final decision. If Millennium Insurance Company Limited pays the compensation later than this, it must also pay interest¹ on it from the date of my final decision until the date of payment, calculated at 8% per year simple.

Under the rules of the Financial Ombudsman Service, I’m required to ask Mr K to accept or reject my decision before 23 December 2016.

S Lilley
ombudsman

¹ HM Revenue & Customs requires Millennium Insurance Company Limited to take off tax from this interest. Millennium Insurance Company Limited must give Mr K a certificate showing how much tax it’s taken off if he asks for one.